CONFIDENTIAL AND SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

IN THE MATTER OF A PROPOSED CLAIM BY
CALVERTON INDUSTRIES LIMITED
against
FERNCLIFFE ALLOYS LIMITED

ADVICE ON THE MERITS AND QUANTUM

Introduction

1. I am asked to advise Calverton Industries Limited ("Calverton") on the merits and quantum of a proposed claim against Ferncliffe Alloys Limited ("Ferncliffe") arising from the supply of stainless steel bar which is said not to have conformed to specification, and which Calverton incorporated into marine deck-fastener assemblies which then failed in service. I have read the framework supply agreement, the purchase orders and mill certificates, the report of Wraysbury Materials Laboratory dated 5 September 2025, the pre-action correspondence and the proof of evidence of Mr David Okoro.

2. In summary, my view is that Calverton has a strong claim on liability in respect of the bar supplied under purchase orders PO-2024-0241 and PO-2024-0307, but that the principal battleground will be quantum, and in particular the claim for loss of the Wexbourne contract and the effect of the limitation of liability clause. I assess Calverton's overall prospects of recovering a substantial sum as good (better than 65%), subject to the points below.

Liability

3. The contractual framework is straightforward. The bar was sold by description as grade 316L to a stated standard and with stated minimum properties, and the implied terms under sections 13 and 14 of the Sale of Goods Act 1979 plainly applied. If the Wraysbury findings are accepted — molybdenum at 1.1–1.4% against a 2.0% minimum, and a PREN of around 18 — then the bar from the affected heats was simply not 316L. On its face that is a clear breach of section 13 (correspondence with description) and section 14(2)/(3).

4. Ferncliffe's position that it is a mere stockholder which relied on the mill certificate does not assist it as against Calverton. As between seller and buyer, the seller is liable for the description and quality of what it sells regardless of where it sourced the goods; Ferncliffe's remedy, if any, lies up the chain against its mill. I do not regard the "stockholder" defence as having real prospects.

5. The more serious liability points are (a) the deemed-acceptance argument under the inspection clause (clause 12) and (b) causation. On (a), I do not think a clause requiring inspection within 10 days defeats a latent chemical non-conformity that no reasonable goods-inwards inspection would detect; the better view is that clause 12 does not exclude liability for defects not reasonably discoverable on the contractual inspection. On (b), Ferncliffe will run a positive case that the failures were caused by Calverton's machining, finishing or installation, or by the environment. This is where expert metallurgical evidence will be decisive, and I advise that Calverton's expert address causation expressly and not merely composition.

Quantum

6. The direct heads of loss — investigation and testing, recall and field replacement, scrap, rework and credits — are in my view recoverable in principle, subject to proof that they were reasonably incurred and caused by the breach. The recall costs in particular should be well documented; I have asked for the underlying invoices and the recall project records to be assembled.

7. The largest and most vulnerable head is the £865,000 claimed for loss of the Wexbourne contract. Three issues arise. First, remoteness: Calverton will need to show that loss of a downstream contract of this kind was within the parties' reasonable contemplation; given that Ferncliffe knew it was supplying a fastener manufacturer, I think this is arguable but not certain. Secondly, causation: Ferncliffe will say Wexbourne left for other reasons; the termination letter expressly citing the quality failures is therefore important evidence and should be exhibited. Thirdly, mitigation: Calverton must show it took reasonable steps to replace the business, and must give credit for replacement revenue, as the schedule of loss now does.

8. The limitation of liability clause (clause 11) is the most significant single risk. If it is upheld in the form Ferncliffe pleads — a cap at the lower of the price of the relevant Goods or £500,000, and an exclusion of loss of profit and consequential loss — it would cut the claim down very substantially and might exclude the Wexbourne loss altogether. I advise that we take the points that (i) the clause does not satisfy the reasonableness test under the Unfair Contract Terms Act 1977 as applied to these standard terms, and (ii) on its true construction the cap does not apply to the description/quality breaches relied on. These are properly arguable but the outcome is not free from doubt, and Calverton should understand that there is a real prospect that recovery is capped.

Conclusion and recommendations

9. Subject to the expert evidence on causation holding up, Calverton has a strong liability case and a good claim for the direct losses. The Wexbourne loss and the limitation clause introduce real quantum risk. My provisional valuation, taking those risks into account, is that the claim is worth in the region of £1.0m–£1.4m on a risk-adjusted basis, against a pleaded £1.92m.

10. I recommend that Calverton: (a) obtain a CPR Part 35 compliant expert report from a metallurgist addressing both composition and causation; (b) assemble the recall and Wexbourne documentation now; and (c) remain open to a commercial settlement, ideally through a mediation, once the expert evidence is in. I would expect Ferncliffe to engage seriously once it has seen a strong expert report.

HARRIET STANFORD

Eldon Chambers, London
21 January 2026